

Business Benefits

Overview on how to measure



Types of Business Benefits



- Tangible ("hard") benefits are those measured in monetary terms – example :- investment in hardware, software and system's operation cost
- Intangible ("soft") benefits are harder to measure – example :- Improved employee morale and engagement

Key factors – Costs & Benefits -



	Costs		Benefits	
	Quantitative	Qualitative	Quantitative	Qualitative
People	- Relocation - Retention bonuses - Training - Temporary staff - Redundancy - Recruitment	- Potential short-fall in morale and performance levels - Potential loss of key personnel from the team	- Reduce in FTEs - Reduction in operating costs - Greater span of control	- Increased customer focus and service quality - Increased skill levels
Process	- Standardise processes - Reengineer processes - Implement best practices - Measure time to take / complete the steps of creating / delivering product / service	Short-term decrease in process efficiency levels	- Increased productivity - Reduced cost of quality	- Increased focus on business partnering - Best practice, standard processes - Consistent, high quality MIS - Increased ability to quickly adapt to changing business needs
Technology	- Hardware - Software - Implementation costs - Infrastructure - External hosting costs	Learning curve effect of new systems	- Enterprise-wide software - Platform scalability - Reduced software costs - Reduced license fees - Reduced maintenance costs - Reduced upgrade costs - Reduced support costs	- Improved speed of dissemination and access to MIS - Consistent data models across the organization - Standard platform for Governance
Facilities	- Close old facilities - Select new facilities - Design new facilities	Initial disruption to working environment	- Decreased lease rates - Decreased facilities maintenance costs	Potentially improved working environment



Sample Value / Business benefits from Incident Management

Estimated Incident Management ROI

Improvement	Factor	Current	Projected	Savings
Reduction in incidents	10%	5,000	4,500	\$20,000
Reduce first call time	1 minute	12	11	\$16,667
First call resolution rate	20%	40%	30%	\$20,000
Reduce escalations	5%	35%	33%	\$27,500
Redirect to self-service	10%	0	10%	\$20,000
TOTAL				\$120,500

Source: Plexent Sample Report, “Return on Investment: Incident Management” (2011)



Key Levers



Business Impact – Perspectives - Example



Perspective	Notes	What to look for
Business Impact	By reducing the frequency and duration of business-impacting outages, business continuity is ensured and loss of significant amount of revenue associated with system and application downtime	How many business-impacting outages and how much of them resolved before the impacting the users / business services
IT Staff productivity benefits	By leveraging automation tools, process improvements and incorporating best practices have enabled IT team to spend less time in day-to-day issues and can better support business enabling initiatives	Find out the improvements done through automation, process improvement & Best practices implemented
IT infrastructure cost reduction	By optimizing the investment in network, datacentre hardware and software license through adoption of best practices and more cost-effective design, organization end-up spending lower capital and operating expenses	
Risk Mitigation - user productivity benefits.	By minimizing the impact of unplanned outages on employees, higher employee productivity is achieved. Higher employee productivity attributable to lower unplanned downtime	

Exercise -



Service Area	Improvement Goal	Target	Current Performance	Projected Performance	Savings	Benefits	
						Quantitative	Qualitative
Service Desk	Reduce Incident volume	Minimum of 10%	50% (Month Average)...				
	Increase First level resolution	By 10%	75%				
			(Average 500 Incidents)				
	Reduce phone calls	10%	1000 calls per month				

Measure the quantitative benefits



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